Vidhi Specialty Food Ingredients Ltd

Concall Tracker · Q2 FY2027 (quarter ended 30 Sep 2026) · NSE: VIDHIING · BSE: 531717 · Report prepared 7 Nov 2026

Not investment advice. Do your own due diligence. An AI-generated reading of the company's public concall transcripts and filings. This report continues from our Q1-2027 report.

1. Snapshot

What it does: Vidhi makes synthetic food colours, the powders that colour sweets, soft drinks, biscuits, pet food, tablets and cosmetics. About 95% of sales go abroad to 80+ countries. Plants at Roha (Maharashtra) and Dahej SEZ (Gujarat). It is trying to move into pharma tablet coatings (brand "CoatIcon") and dyes for cosmetics, plastics, paints and inks.

Measure	Value	Plain read
Market cap	₹1,550 cr	What the whole company is worth on the market. Small-cap, a touch lower than at our last report (₹1,606 cr).
Q2 FY27 revenue	₹136.5 cr (+82% YoY)	Sales nearly doubled on last year's weak September quarter, but dipped from Q1's ₹146 cr because trading sales fell.
Split of Q2 revenue	Manufacturing ₹108.6 cr · Trading ~₹28 cr	Its own factories sold more than in Q1 (₹99.6 cr). The low-margin resale of raw materials fell from ₹46 cr.
Q2 operating profit (EBITDA)	₹26.4 cr, margin ~19%	Profit before interest, tax and depreciation, up 49%. Margin is up from Q1's 18% but below last year's 24%.
Q2 net profit	₹17.6 cr (+67%)	Best quarter's profit in the recent run.
Q2 volume	1,554 tonnes	Up only about 3% on Q1's 1,506 tonnes. Most of the gain is better prices per kilo, not more product.
P/E	~26	The price is about 26 years of current profit. Not cheap, not stretched.

2. Concall coverage

Quarter	Date	Transcript read?
Q4 FY24 → Q4 FY26 (3 calls)	Jun 2024 – May 2026	Carried forward from Q1-2027 report
Q1 FY27 (prior boundary)	29 Jul 2026	No transcript published; the prior report used the deck and results
Q2 FY27	26 Oct 2026	Newly deep-read in full ★ (NSE filing, 30 Oct 2026)

Only the new call was read in full this quarter; the backstory comes from the prior report. Screener lists many calls for Vidhi but only a handful carry transcripts, so the consistency read still rests on few calls.

★ Latest concall highlights — Q2 FY27 (26 Oct 2026)

- **Results:** revenue ₹136.5 cr, up 82% YoY; net profit ₹17.6 cr, up 67%. Manufacturing sales rose quarter on quarter while trading fell.
- **Trading explained:** H1 trading was ₹75 cr against ₹16 cr a year ago. Management called it "spot opportunities" and stockpiling raw material against supply shocks from the Middle East war, using cash parked for capex at "3%, 4% margins". Its words: "one can look to ignore these trading revenues".
- **Capacity:** stated capacity is now 7,500 tonnes a year (it used to say 8,100) because the new product mix runs smaller batches. An effluent-plant change at Dahej adds 50-75 tonnes a month from Q4, and about 7,000 tonnes a year is "definitely achievable".
- **New Dahej plot:** drawings being finalised, construction starts Q4 FY27, ₹75-85 cr capex, commissioning mid-to-end FY28, revenue potential put at ₹225-250 cr. Separately, a CoatIcon plant at Roha costing ₹25-35 cr starts in 2-3 months.

- **Tone:** upbeat. H2 guided "very similar or slightly better than H1". Freight to the US went up about 5x and was passed on. Investors on the call complained the deck was uploaded 15 minutes before the call.

Business mix & capacity. Exports ~95% / domestic ~5% (last stated in the Q1 FY27 deck; not restated on this call). Capacity 7,500 tonnes a year; management says that is "around 90% capacity utilisation" at full run-rate. Q2's 1,554 tonnes is roughly 83% of that pace, so there is still some room before the new Dahej plant is needed.

★ Since our last report (builds on the Q1-2027 report, Q1 FY27 deck of 29 Jul 2026)

Prior verdicts: **Trigger MAYBE · Consistency NO.**

Prior read	What we said then	What the new call shows	Movement
Trigger	Real and funded, but undelivered	Manufacturing sales up, realisation per kilo up, new plant dates held. Still no new product earning money.	On-track
Consistency	Four quantified promises missed or restated	Capacity figure quietly lowered to 7,500 t; CoatIcon capex now ₹25-35 cr vs ₹5-12 cr before; no number given for the high-margin share.	Slipping
Trading exit	Reversed without explanation	Now explained (stockpiling and spot deals) and fell in Q2, but H1 still ~5x last year	Improving
Dahej full in FY27	Two years late; target FY27	Reaffirmed "during the current financial year"	On-track
CoatIcon orders	Samples out, no revenue	₹8-15 lakh a month of sample sales to small pharma firms; 2-3 years to win approvals at big ones	Slipping

The prior report had no checkpoints box. Promise scores above: **Checkpoint results: n/a (no stored checkpoints)**.

Verdict change: trigger unchanged (MAYBE); consistency unchanged (NO). Trading being explained helps, but new numbers keep shifting.

★ 3. Earning-trigger thesis

The driver is the same as for three years: fill Dahej, then push the mix towards costlier products (cosmetic and drug dyes, lakes, fluorescent and solvent dyes) and add two new lines, CoatIcon tablet coatings at Roha and a new product plant on the fresh Dahej plot. This quarter the core business did move the right way: manufacturing sales up, price per kilo up, gross margin up quarter on quarter. But the two growth plants only start building in the next few months, so the big step-up is an FY28-FY29 story.

Trigger	What management said	Evidence so far	Horizon	Strength	Change since last report
Fill Dahej	Full utilisation this year; ETP change adds 50-75 t/month from Q4	Volume up only ~3% QoQ	Q4 FY27	Moderate	Unchanged
Richer mix	High-margin share "constantly increasing", "very much on track"	Realisation ~₹700/kg, margin up QoQ; no share disclosed	Ongoing	Moderate	↑ small
New Dahej plant	₹75-85 cr, build from Q4, commission mid-to-end FY28, ₹225-250 cr revenue	Drawings stage, pilot plant sampling	FY28-29	Unproven	Unchanged
CoatIcon	Long approvals; plant ₹25-35 cr at Roha	₹8-15 lakh/month sample sales; Colorcon holds ~90% of the market	2-3 years	Weak	↓ timeline stretched

3b. Trigger check

Trigger type	Yes/ No	What was said (date)
Debt cut	No	May take a small term loan for the capex (26 Oct 2026)
New business	Yes	CoatIcon tablet coatings selling small sample lots to pharma firms; new product line for Dahej (26 Oct 2026)
Margin up	Yes	"The share of high-value, high-margin products is constantly increasing" (26 Oct 2026)
New management	No	Not mentioned
New capacity	Yes	Construction on the new Dahej plot "scheduled to begin in the last quarter" of FY27; ETP change adds 50-75 t/month from Q4 (26 Oct 2026)
Big orders	No	Only "current order positions" support an H2 similar to H1
Turnaround	No	Not mentioned
Promoter buying	No	Not mentioned

Single concrete driver: a richer product mix at the existing Roha and Dahej plants now, then the new Dahej product plant and the CoatIcon line in FY28.

3c. Margin bridge

Operating margin is about 19%, up from 18% in Q1 but below 24% a year ago. The year-on-year drop is mostly the low-margin trading sales diluting the total; quarter on quarter, less trading and a richer mix lifted it, even with US freight up about 5x (passed on to customers). Management sees the mix gain as lasting; the freight spike is one-off. (lasting)

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
Jun 2024	Dahej full by end FY25	Now promised for FY27 and reaffirmed	Missed (re-dated)
Jun 2024	Margin up another 500-600 bps	Around 19% now vs 18.8% in FY24	Missed
Jun 2024	Exit trading	H1 FY27 trading ₹75 cr; now called a temporary use of spare cash	Missed
May 2026	High-margin products 10-12% of mix in FY27	"On track", no number given	Too-early
Jul 2026	Two pilot plants, new lines mid-FY28	Dates held; construction from Q4 FY27	Too-early
Earlier calls	Capacity 8,100 t; CoatIcon capex ₹5-12 cr	Now 7,500 t effective; CoatIcon capex ₹25-35 cr	Restated

Narrative drift. The story in words is steady: Dahej, mix, two new lines. What changes is the numbers attached to it. This quarter it was the capacity base and the CoatIcon budget. The trading explanation is at least on the record now. Management also brushed off an investor who pointed out the stock has gone nowhere in five years.

5. Bottom line

Durable earning trigger? → MAYBE vs last quarter: unchanged

Nothing big moved it. The core factory business grew and the mix is getting richer, which is real. But the plants that are meant to change the size of the company haven't started building, CoatIcon is still selling in lakhs a month, and the headline growth is still padded by trading.

Management consistent? → NO vs last quarter: unchanged

The trading U-turn now has a reason, which is a small plus. Against it, two more figures were restated this quarter (capacity and the CoatIcon budget) and the high-margin share target got a "very much on track" with no number. The record on dated, numbered promises is still poor.

★ 6. Checkpoints for next quarter

- Dahej effluent-plant change done and quarterly volume clearly above Q2's 1,554 tonnes
- Construction starts on the new Dahej plot by the Q4 FY27 call
- H2 revenue and profit at least match H1, as guided